II. Granting Loans and Advances

The second primary function of commercial banks is lending money in order to earn interest income. Banks provide specific sums as loans which are repayable along with interest. Demand loans should be repaid whenever demanded. Term loans can be repaid after the agreed period. Advances are credit facilities provided for short period (within a year) to business community. But both terms are used interchangeably.

A. Advances

1. Overdraft

It is a credit facility extended mostly to current account holding business community customers. It is an arrangement reached between the banker and the credit worthy customers. Such customers are allowed to overdraw (when there is no balance money in the account) up to a certain amount usually for 3 months period. It may be extended for further periods. Only on the withdrawn amount of credit interest is charged and not on the maximum limit allowed. It is an unsecured credit. Secured overdraft against the security of financial instruments is also provided by some banks. It is repayable on demand.

2. Cash Credit

It is a secured credit facility given mostly to business institutions. Stock in hand, raw materials, other tangible assets, etc. are provided as collateral. A certain sum is allowed as credit for a short period. Interest is payable on the actual amount withdrawn and not on the entire credit facility. . It is repayable on demand.

3. Discounting of Bills

Business customers approach banks to discount the commercial bills of exchanges and provide money. It is a short term credit instrument. Banks deduct the discount (interest) for the period mentioned in the bill and release the balance amount to the traders. If the bill is dishonoured, the bank can recover the amount from the customer. It is a form of unsecured credit.

B. Loans

Short term and medium term loans are provided by commercial banks against eligible collaterals to business concerns. It is a definite sum of money lent for a definite period. It is repayable in one lump sum or in instalments. Interest is payable on the entire loan amount. Every bank in these days design new methods of advancing loans to find more ways of learning income. Generally commercial banks provide the following loans.

1. Housing Loan

Taking the title deeds of the house as collateral security, based on the monthly income of the borrowing customer, banks advance medium and long term loans. The customer repay the loan in equated monthly instalments (EMI consists of principal and interest). This is a boon to the middle class salaried employees who cannot afford to pay the full price of a house in a lump sum.

2. Consumer Loan

Consumer durables like refrigerator, air conditioner, laptop, washing machine, television, etc. can be purchased by customers with consumer loans from banks. The product purchased is hypothecated

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